

D102

Financial Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A landscaping company that has used the same bank for 15 years pays a supplier \$3,000 on account. The supplier is known for fast delivery. What journal entry records the payment?

- A. Debit Accounts Payable \$3,000; credit Cash \$3,000.
- B. Debit Cash \$3,000; credit Accounts Payable \$3,000.
- C. Credit Cash \$3,000 only.
- D. Debit Supplies Expense \$3,000; credit Cash \$3,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Which account normally carries a credit balance?

- A. Prepaid Rent.
- B. Dividends.
- C. Unearned Revenue.
- D. Salaries Expense.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

At year-end, a bookkeeper at a small architecture firm with six partners has just prepared the unadjusted trial balance. The firm's fiscal year ends June 30. What is the next step in the accounting cycle?

- A. Post journal entries to the ledger.
- B. Record adjusting entries.
- C. Prepare the financial statements.
- D. Record closing entries.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

On September 1 a dental office paid \$12,000 for a 12-month insurance policy from a carrier rated A+ and recorded it as Prepaid Insurance. The office added a third dentist in October. What adjusting entry is needed on December 31?

- A. Debit Prepaid Insurance \$4,000; credit Insurance Expense \$4,000.
- B. Debit Insurance Expense \$8,000; credit Prepaid Insurance \$8,000.
- C. Debit Insurance Expense \$4,000; credit Prepaid Insurance \$4,000.
- D. Debit Insurance Expense \$12,000; credit Prepaid Insurance \$12,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

5. [TRANSFER — reversed stem / different variable]

Employees earn \$2,000 per workday, Monday through Friday, and are paid each Friday. The year ends on a Wednesday. What adjusting entry is required?

- A. Debit Wages Expense \$6,000; credit Wages Payable \$6,000.
- B. No entry until payday.
- C. Debit Wages Expense \$10,000; credit Wages Payable \$10,000.
- D. Debit Wages Expense \$4,000; credit Wages Payable \$4,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

6.

On October 1 a fitness center with a new rooftop pool sold 100 one-year memberships at \$600 each, paid in advance. Membership fees are recognized evenly over the year. What is the Unearned Revenue balance on December 31?

- A. \$15,000
- B. \$45,000
- C. \$0, because the cash has been collected.
- D. \$60,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

7.

A florist's bank statement shows \$8,200. Deposits in transit are \$1,300, and outstanding checks total \$900. The books show \$8,805, and the statement lists a \$25 service charge and a \$180 NSF customer check. The bank recently opened a branch next door. What is the adjusted cash balance?

- A. \$7,800
- B. \$9,500
- C. \$8,805
- D. \$8,600

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

Which bank reconciliation item requires a journal entry in the company's books?

- A. An outstanding check.
- B. Every reconciling item.
- C. A deposit in transit.
- D. A monthly bank service charge.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

At year-end, an accountant at a regional moving company with 22 trucks prepares closing entries. The company paid \$15,000 in dividends and grew revenue 9%. Which account is closed?

- A. Unearned Revenue.
- B. Accounts Receivable.
- C. Dividends.
- D. Retained Earnings.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A printing company has cash of \$40,000, accounts receivable of \$60,000, inventory of \$50,000 and equipment of \$300,000. It owes \$45,000 to suppliers, \$30,000 on a six-month note and \$200,000 on ten-year bonds. The company prints for 12 local newspapers. What is its current ratio?

- A.** 2.0
- B.** 0.55
- C.** 0.5
- D.** \$75,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A company's current ratio is 1.5 and its current liabilities are \$80,000. What are its current assets?

- A.** \$80,000
- B.** \$120,000
- C.** \$40,000
- D.** \$53,333

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

At a busy auto-parts store, one clerk opens the mail, records customer payments and makes the bank deposits. The clerk has worked there 11 years and is well liked. An auditor finds \$18,000 missing. Which control would most directly have prevented this?

- A.** Controls are unnecessary in small stores.
- B.** Give the clerk a raise to reduce financial pressure.
- C.** Trust long-time employees, since tenure shows honesty.
- D.** Separate the duties of handling cash and recording payments.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A landscaping company ~~that has used the same bank for 15 years~~ pays a supplier \$3,000 on account. ~~The supplier is known for fast delivery.~~ What journal entry records the payment?

Target word: debit and credit **Decides:** Liability down (debit), asset down (credit).

A	Correct	Reducing a liability is a debit; reducing an asset is a credit.
B	Inverted operation	Reverses the sides; that would increase both.
C	Dropped element	Every entry needs equal debits and credits.
D	Adjacent category	The expense was recorded at purchase; this pays off the payable.

2. Answer C Concept 1 • transfer

Which account normally carries a credit balance?

Target word: reverse: normal balance **Decides:** Liabilities have credit normal balances.

A	Confusion set	An asset with a debit balance, despite sounding like a payment owed.
B	Adjacent category	Reduces equity, so it carries a debit balance.
C	Correct	A liability; liabilities increase with credits.
D	Inverted operation	Expenses increase with debits.

3. Answer B Concept 2

At year-end, a bookkeeper at a small architecture firm ~~with six partners~~ has just prepared the unadjusted trial balance. ~~The firm's fiscal year ends June 30.~~ What is the next step in the accounting cycle?

Target word: next step in the cycle **Decides:** Adjusting entries follow the unadjusted trial balance.

A	Adjacent category	Posting happens before the trial balance is prepared.
B	Correct	Adjustments update accounts before statements are prepared.
C	Dropped element	Skips adjustments and the adjusted trial balance.
D	Inverted operation	Closing comes after statements, near the end of the cycle.

4. Answer C Concept 3

On September 1 a dental office paid \$12,000 for a 12-month insurance policy ~~from a carrier rated A+~~ and recorded it as Prepaid Insurance. ~~The office added a third dentist in October.~~ What adjusting entry is needed on December 31?

Target word: adjusting entry amount and accounts **Decides:** Four months used: $\$1,000 \times 4$.

A	Confusion set	Right amount, sides reversed.
B	Inverted operation	\$8,000 is the unused balance still prepaid, not the expense.
C	Correct	September–December is 4 of 12 months: $\$12,000 \times 4/12$.
D	Wrong stem number	Expenses the full policy, though 8 months remain.

5. Answer A Concept 3 • transfer

Employees earn \$2,000 per workday, Monday through Friday, and are paid each Friday. The year ends on a Wednesday. What adjusting entry is required?

Target word: accrued wages **Decides:** Monday–Wednesday earned but unpaid: 3 days.

A	Correct	3 days × \$2,000 earned by year-end but not yet paid.
B	Dropped element	Accrual accounting records expenses when incurred.
C	Wrong stem number	Accrues a full week, including days not yet worked.
D	Inverted operation	Accrues Thursday and Friday, the days not yet worked.

6. Answer B Concept 4

On October 1 a fitness center ~~with a new rooftop pool~~ sold 100 one-year memberships at \$600 each, paid in advance. Membership fees are recognized evenly over the year. What is the Unearned Revenue balance on December 31?

Target word: unearned revenue remaining **Decides:** 9 of 12 months not yet delivered.

A	Inverted operation	That is revenue earned so far, not the remaining liability.
B	Correct	$\$60,000 \times 9/12 = \$45,000$ still owed in service.
C	Adjacent category	Collection does not satisfy the obligation to provide service.
D	Dropped element	Ignores the three months already earned.

7. Answer D Concept 5

A florist's bank statement shows \$8,200. Deposits in transit are \$1,300, and outstanding checks total \$900. The books show \$8,805, and the statement lists a \$25 service charge and a \$180 NSF customer check. ~~The bank recently opened a branch next door.~~ What is the adjusted cash balance?

Target word: reconciled cash balance **Decides:** Bank: $8,200 + 1,300 - 900$; book: $8,805 - 25 - 180$.

A	Inverted operation	Subtracts deposits in transit and adds outstanding checks.
B	Dropped element	Adds deposits in transit but leaves out outstanding checks.
C	Wrong stem number	The unadjusted book balance.
D	Correct	Both sides reconcile to \$8,600.

8. Answer D Concept 5 • transfer

Which bank reconciliation item requires a journal entry in the company's books?

Target word: reverse: book-side item **Decides:** Items the bank knew about but the company did not.

A	Adjacent category	Already recorded by the company; a bank-side item.
B	Absolute language	Bank-side items need no entry.
C	Confusion set	Already on the books; only the bank has not recorded it.
D	Correct	Book-side adjustments must be journalized.

9. Answer C Concept 6

At year-end, an accountant at a regional moving company ~~with 22 trucks~~ prepares closing entries. The company paid \$15,000 in dividends ~~and grew revenue 9%~~. Which account is closed?

Target word: temporary vs. permanent **Decides:** Dividends is a temporary account.

A	Confusion set	Despite the word revenue, it is a liability and stays open.
B	Adjacent category	An asset; permanent accounts carry forward.
C	Correct	Dividends is closed to retained earnings each period.
D	Inverted operation	Temporary accounts close into it; it is not closed.

10. Answer A Concept 7

A printing company has cash of \$40,000, accounts receivable of \$60,000, inventory of \$50,000 and equipment of \$300,000. It owes \$45,000 to suppliers, \$30,000 on a six-month note and \$200,000 on ten-year bonds. ~~The company prints for 12 local newspapers.~~ What is its current ratio?

Target word: current ratio **Decides:** Current assets \$150,000 ÷ current liabilities \$75,000.

A	Correct	$(\$40,000 + \$60,000 + \$50,000) / (\$45,000 + \$30,000) = 2.0$.
B	Adjacent category	Includes the ten-year bonds, a noncurrent liability.
C	Inverted operation	Divides liabilities by assets.
D	Confusion set	That is working capital, not the ratio.

11. Answer B Concept 7 · transfer

A company's current ratio is 1.5 and its current liabilities are \$80,000. What are its current assets?

Target word: solve for current assets **Decides:** Current assets = ratio × current liabilities.

A	Wrong stem number	The liabilities figure.
B	Correct	$1.5 \times \$80,000$.
C	Confusion set	That is working capital ($\$120,000 - \$80,000$).
D	Inverted operation	Divides by 1.5 instead of multiplying.

12. Answer D Concept 8

At a busy auto-parts store, one clerk opens the mail, records customer payments and makes the bank deposits. ~~The clerk has worked there 11 years and is well liked.~~ An auditor finds \$18,000 missing. Which control would most directly have prevented this?

Target word: control that removes opportunity **Decides:** One person holds incompatible duties.

A	Absolute language	Small businesses are especially exposed without segregation.
B	Adjacent category	Addresses pressure, not the opportunity the control gap created.
C	Camouflage	Tenure and likability do not remove opportunity.
D	Correct	Segregation of duties removes the opportunity side of the fraud triangle.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Debit and credit rules	Assets, expenses and dividends increase with debits; liabilities, equity and revenue increase with credits. Each account's normal balance is its increase side.	Thinking a debit always means an increase or that cash paid out is a debit to cash.	A transaction and a choice of which accounts are debited and credited.
2	Order of the accounting cycle	Analyze and journalize, post, prepare unadjusted trial balance, record adjusting entries, adjusted trial balance, financial statements, closing entries, post-closing trial balance.	Closing the books before preparing statements, or adjusting before the trial balance.	"What comes next" after a named step.
3	Adjusting entries	At period-end, record prepaid costs used (expense up, asset down) and expenses incurred but unpaid (expense up, liability up) so the period's income is right.	Expensing the entire prepayment when paid, or waiting for payday to record wages earned.	A prepayment spanning months, or work done but not yet paid at year-end.
4	Unearned revenue	Cash received before goods or services are delivered is a liability until earned; it becomes revenue as the obligation is fulfilled.	Recording all advance cash as revenue on receipt.	Customer pays in advance for a service that runs past the period end.
5	Bank reconciliation	Adjust the bank balance for deposits in transit (+) and outstanding checks (-); adjust the book balance for bank fees, NSF checks (-) and interest or collections (+). Only book-side items need journal entries.	Putting deposits in transit on the book side or recording outstanding checks in the journal.	A bank statement balance, a book balance and a list of reconciling items.
6	Closing entries	Temporary accounts — revenues, expenses and dividends — are closed to retained earnings at period-end; asset, liability and equity accounts stay open.	Closing a balance sheet account like accounts receivable or unearned revenue.	Which accounts carry to the next period.
7	Classified balance sheet and current ratio	Current assets and liabilities are those expected to be used or settled within a year; current ratio = current assets ÷ current liabilities.	Including long-term debt or equipment in the current ratio.	A mix of short- and long-term balance sheet items and a liquidity question.
8	Fraud triangle and internal control	Fraud requires pressure, opportunity and rationalization; controls such as segregation of duties remove the opportunity.	Thinking honest-seeming staff remove the need for controls, or mixing up the three elements.	One person handles incompatible duties, or an employee justifies misconduct.

Course scope (public description): Financial Accounting focuses on ways in which accounting principles are used in business operations. Students learn the basics of financial accounting, including how the accounting cycle is used to record business transactions under generally accepted accounting principles (GAAP). Students will also

be introduced to the concepts of assets, liabilities, and equity. This course also presents bank reconciliation methods, balance sheets, and business ethics. Principles of Accounting is a prerequisite for this course.